What Your Policy Actually Covers

A Policyholder's Guide to Understanding Homeowner's Insurance

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Important Disclaimer

This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes. Any resemblance to specific claims or individuals is coincidental unless otherwise noted.

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CHAPTER 1

Your Policy Is More Generous Than You Think

Most homeowners have no idea what their insurance policy actually covers. They know it covers fire and storms, maybe theft. Beyond that, it's a mystery wrapped in 30 pages of legal language.

Here's what most people don't know: a standard homeowner's policy is actually remarkably broad. It covers far more than most people realize — and far more than insurance companies want you to know. The problem isn't usually that your policy doesn't cover the damage. The problem is that the insurance company doesn't want to pay for it.

This guide walks you through the major coverages in a typical homeowner's policy, explains what each one means in plain English, and highlights the coverage areas that insurance companies most commonly overlook, deny, or underpay.

CHAPTER 2

The Six Parts of Your Policy

A standard homeowner's insurance policy (like the ISO HO-3) is divided into several coverage sections. Understanding these sections is the first step to knowing what you're entitled to.

Coverage A — Dwelling

This covers the structure of your home itself — the walls, roof, foundation, built-in appliances, attached garage, and permanently installed fixtures like plumbing, electrical, and HVAC systems. If a covered peril damages any part of the physical structure, Coverage A pays for the repair or replacement.

Most people understand this one intuitively, but they often don't realize how broad it is. Coverage A includes things like flooring (hardwood, tile, carpet), cabinets, countertops, built-in shelving, drywall, insulation, and all the mechanical systems within the walls.

Coverage B — Other Structures

This covers structures on your property that are not attached to your main dwelling. Detached garages, sheds, fences, retaining walls, gazebos, swimming pools, driveways, walkways, and even garden statues can fall under Coverage B.

Coverage B is typically set at 10% of your Coverage A limit. So if your dwelling is insured for $400,000, you have $40,000 for other structures. This is often overlooked by adjusters who focus only on the main house.

Other Structures Are Covered

Don't forget about Coverage B. Fences, sheds, detached garages, driveways, retaining walls, and other structures on your property are covered separately. Make sure the adjuster inspects and includes all damaged structures in the claim.

Coverage C — Personal Property (Contents)

This covers your belongings — furniture, clothing, electronics, kitchenware, tools, artwork, sports equipment, and virtually everything you own that isn't part of the structure itself. Coverage C is typically 50-70% of your Coverage A limit.

Contents claims are where some of the biggest money is left on the table. People forget about items stored in closets, the garage, the attic. They forget about clothing that absorbed smoke. They forget about food in the refrigerator that spoiled during a power outage. Every item counts.

Coverage D — Loss of Use / Additional Living Expenses (ALE)

If your home is uninhabitable due to a covered loss, Coverage D pays for your additional living expenses. This includes hotel bills, restaurant meals (above what you'd normally spend on food), laundry, storage, and other costs you incur because you can't live in your home.

This coverage is one of the most underutilized. Many policyholders don't know they're entitled to it, or they minimize their expenses to avoid 'bothering' the insurance company. If you can't live in your home because of a covered loss, you're entitled to maintain your normal standard of living until repairs are complete.

Loss of Use also covers things people don't think about — like the cost of a temporary kitchen setup by a plumber, renting temporary appliances, or even the extra mileage from a longer commute if you're staying in a hotel across town.

You Deserve to Live Normally

Coverage D (Loss of Use) pays for your additional living expenses while your home is being repaired. Don't minimize your claim. Keep all receipts for hotels, meals, laundry, storage, pet boarding, and any extra costs caused by displacement from your home.

Coverage E — Personal Liability

This covers you if someone is injured on your property or if you accidentally damage someone else's property. While this guide focuses on property claims, it's important to know this coverage exists.

Coverage F — Medical Payments to Others

This covers medical expenses for people injured on your property, regardless of fault. It's typically a small limit ($1,000 to $5,000) and is meant to handle minor injuries without a liability claim.

CHAPTER 3

What Perils Are Covered?

A 'peril' is the cause of the loss — fire, wind, water, theft, vandalism, etc. The type of policy you have determines which perils are covered.

Open Peril (All-Risk) — Coverage A

On most HO-3 policies, your dwelling (Coverage A) is covered on an 'open peril' or 'all-risk' basis. This means everything is covered unless it's specifically excluded. The exclusions are listed in the policy — things like flood, earthquake, gradual deterioration, and wear and tear.

Open peril coverage is powerful because the burden is on the insurance company to prove an exclusion applies. If something damages your house and it's not on the exclusion list, it's covered. Period.

Named Peril — Coverage C

Your personal property (Coverage C) is often covered on a 'named peril' basis. This means only specific perils are covered — typically fire, lightning, windstorm, hail, explosion, riot, aircraft, vehicles, smoke, vandalism, theft, volcanic eruption, falling objects, weight of ice/snow, water damage from plumbing, and electrical surge.

With named peril coverage, the burden is on you to prove that one of the listed perils caused the damage. This is the opposite of open peril coverage.

Open Peril vs. Named Peril

Open peril = everything is covered unless excluded (burden on the insurer).
Named peril = only listed perils are covered (burden on the policyholder).

Most HO-3 policies cover your dwelling (structure) on an open peril basis and your contents on a named peril basis. Know the difference.

CHAPTER 4

Coverages Most People Don't Know They Have

Ordinance or Law Coverage

When your home is repaired, it may need to be brought up to current building codes. The original construction might have been code-compliant when it was built, but codes change. Electrical panels need upgrading. Plumbing needs to meet new standards. Structural elements may need reinforcement.

Ordinance or law coverage pays for these code upgrades. Many policies include some amount of this coverage, but it's often overlooked by adjusters — and by homeowners who don't know to ask.

Debris Removal

After a major loss, there's often a significant cost to remove damaged materials before rebuilding can begin. Your policy typically covers debris removal, but it may have a separate limit. On major losses like fire or total roof failure, debris removal can cost tens of thousands of dollars.

Reasonable Repairs / Emergency Mitigation

Your policy covers reasonable steps to prevent further damage. If a pipe bursts, you're covered for the emergency plumber who shuts off the water, the extraction company that removes standing water, and the drying equipment to prevent mold. These emergency repairs are covered even before the adjuster arrives.

Trees, Shrubs, and Landscaping

Most policies cover damage to trees, shrubs, and other plants — typically up to 5% of your Coverage A limit, with a per-item cap of $500-$1,000. This coverage is almost always overlooked.

Food Spoilage

If a covered peril causes a power outage that spoils the food in your refrigerator and freezer, many policies cover the loss. Check your policy — it's usually a small amount ($500 or so), but it's money you're entitled to.

Check for These Coverages

These 'hidden' coverages add up. On a major claim, code upgrades alone can be worth tens of thousands of dollars. Don't leave money on the table by overlooking coverages that are right there in your policy.

CHAPTER 5

Coverage Disputes: When the Insurer Says No

Just because the insurance company denies something doesn't mean it's not covered. Some of the most common coverage disputes involve legitimate claims that carriers deny to save money.

Water Damage

Water damage is the most common type of homeowner's claim and the most frequently disputed. Your policy covers 'sudden and accidental' water damage from plumbing failures — a pipe that bursts, a water heater that fails, a dishwasher hose that breaks. But carriers often try to characterize these as 'gradual' leaks or 'maintenance issues,' which are typically excluded.

The distinction matters enormously. A pipe that's been slowly seeping for months is treated differently than a pipe that suddenly fails. But insurance companies sometimes label clearly sudden failures as 'gradual' to avoid paying.

Mold

Mold is one of the most contentious areas. Many policies now have mold exclusions or caps. But if mold develops as a result of a covered water loss, the initial mold remediation may be covered as part of the water damage claim. The key is whether the mold resulted from a covered peril.

Overhead and Profit (O&P)

When a general contractor manages a repair project involving multiple trades, they charge overhead and profit — typically 10% and 10% (20% total). Insurance companies frequently refuse to include O&P in their estimates, claiming the homeowner doesn't need a general contractor.

This is often wrong. If the repair requires coordinating multiple trades — plumbing, electrical, drywall, paint, flooring — a general contractor is necessary, and their overhead and profit are a legitimate repair cost.

Matching

As discussed in our depreciation guide, insurance companies often refuse to pay for matching. If they replace one section of your roof or siding and it doesn't match the rest, they'll claim that matching is 'betterment.' Courts have increasingly rejected this argument.

Don't Accept 'No' at Face Value

A denial isn't the final word. If you believe the damage should be covered, get the denial in writing and challenge it. Cite your policy language, state regulations, and case law. Many initial denials are reversed when policyholders push back with knowledge.

CHAPTER 6

Why 'Read Your Policy' Isn't Enough

People love to say 'read your policy.' It's not bad advice, but it's woefully incomplete. The policy is only one piece of the puzzle. Here's what else matters:

State Statute Overrides Policy Language

Many policies contain language that directly conflicts with state law. When that happens, state law wins. The insurance company wrote the policy — they don't get to enforce provisions that violate the regulations they're supposed to follow.

For example, in California, there's a Standard Fire Policy embedded in the insurance code. Carriers are supposed to conform to it. When their policy language deviates from the standard form in ways that harm the policyholder, the standard form language may control.

Case Law Interprets Policy Language

Courts have spent decades interpreting insurance policy language. Those interpretations become case law, and they carry significant weight. An ambiguous clause in your policy may have been interpreted by courts in your state — usually in favor of the policyholder, since the insurance company wrote the policy and any ambiguity is construed against them.

Regulatory Guidance

Your state's Department of Insurance issues regulations, bulletins, and guidance that affect how claims must be handled. These rules can create requirements that go beyond what the policy says — like deadlines for acknowledging claims, requirements for written denials, and rules about how depreciation must be calculated.

Four Layers of Protection

The policy, state statute, case law, and regulatory guidance all work together to define what you're entitled to. A denial based on policy language alone may be overridden by a state law or court decision. This is why professional help from a public adjuster or attorney can make such a big difference.

CHAPTER 7

Your Action Plan

Right Now — Before You Have a Loss

1. Read your declarations page. Know your coverage limits for dwelling, other structures, contents, and loss of use.
2. Check if you have replacement cost or actual cash value coverage.
3. Look for endorsements — these modify your base policy and can add or remove coverages.
4. Document your property with photos and video. Walk through every room. Open every closet. Shoot the attic and crawlspace.
5. Create a home inventory of your contents, with photos and estimated values.
6. Store documentation offsite or in the cloud where it's safe from the same loss.

When You Have a Loss

1. Protect your property from further damage — make emergency repairs, but document everything first.
2. Document all damage with photos and video before any cleanup or repairs.
3. File your claim promptly.
4. Don't sign anything the insurance company sends without understanding it fully.
5. Get your own estimate from a licensed contractor or public adjuster.
6. Don't limit your claim to what the adjuster identifies — point out all damage you've observed.
7. Ask about every coverage: dwelling, other structures, contents, loss of use, debris removal, code upgrades, trees and shrubs.
8. Keep every receipt, every email, every letter.

9. If the claim isn't going right, consult a licensed public adjuster or an attorney experienced in insurance claims.

Need Help With Your Claim?

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy.

Visit: insuranceclaimsinfo.com

Free resources, guides, and expert help for policyholders

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